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Which decade was the most uncertain?

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Executive summary

The cliché of our time is “uncertainty”. And for good reason. So far this decade, we have lived through a pandemic, Europe’s biggest ground war since WWII, a historic rate-hiking cycle, a tariff shock, and the closure of the Strait of Hormuz – all within roughly six years.

So, ask people whether today's investment environment is more or less certain than a prior decade, and the intuitive answer is that today is more uncertain than ever.

Yet, when the dbDataInsights team put this question to a representative sample of the US and UK populations, we received a surprising response. By a considerable margin, people tend to think there is more certainty today than in any other post-war decade. That is despite many other factors indicating great disaffection and very low economic confidence.

This report sets out to examine why. In short, our conclusions rest on three pillars, which relate to the way in which the six megatrends that impact economies and markets are changing over time.

— A government backstop that did not previously exist at such scale or speed is available today. This has been highly visible to households and investors and we believe markets are pricing this in.

— The frequency of shocks has risen this decade but each individual disruption has, on average, been relatively contained rather than compounding to the extent that shocks have in prior decades.

— Technology has been a tremendous buffer that people have experienced personally in the 2020s.

We do not think today’s certainty is unconditional or permanent. In fact, it has a great cost that we expect will come due soon. Our megatrend model shows how this cost is building and how other trends are compounding it. We close this report with a brief discussion on the implications we see for portfolio construction.

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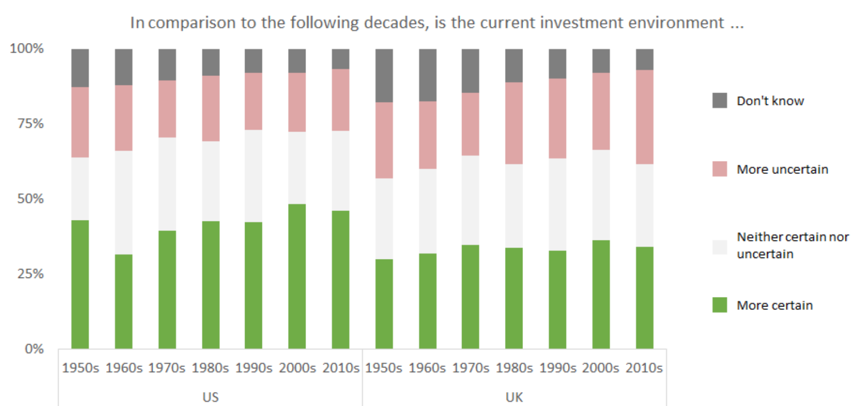
An unexpected finding

A common theme we hear from investors is that they are struggling to deal with bracing uncertainty in global politics, economics, and markets. Indeed, the geopolitical upheaval of the last few years is compounding other concerns such as an energy crisis, sovereign debt levels, high equity valuations, private capital exposure, tech volatility, rising populism and more.

Yet, when we actually asked people how they feel about today's investment environment, their answers were unexpected. Our dbDataInsights survey of a representative sample of people in the US and UK showed that people overwhelmingly believe that today's investment environment is more certain than it was any other post-war decade.

Figure 1: People think today is "more certain" than any prior post-war decade



Source : dbDataInsights, Deutsche Bank Research

Rearranging the numbers into a table, we can rank each decade from the most uncertain to least uncertain.

Figure 2: Americans and Britons have very different ideas about which decade was the most uncertain

The decades since WWII ranked **from most uncertain to least uncertain**
(Net % of people ranking today as being more certain each prior decade)

US	
2000s	29%
2010s	26%
1990s	23%
1980s	21%
1970s	21%
1950s	20%
1960s	10%

UK	
1970s	14%
2000s	11%
1960s	9%
1980s	6%
1990s	6%
1950s	4%
2010s	3%

Source : dbDataInsights, Deutsche Bank Research

The result seems a bit paradoxical: investors claim today is more certain than prior decades, however, many consumer-sentiment surveys and polls of views on the state of the world show multi-decade lows.

Yet, we believe people can experience relative investment certainty at the same time they are worried about the state of the world. This belief reflects two structural changes in recent years:

1. a demonstrated government capacity to backstop shocks quickly and at scale;
2. a series of shocks in the 2020s that, so far, have been contained rather than having compounded as did prior crises the 1970s, 2008 and more; and
3. the impact that the non-AI technology evolution of the 2020s has had on people's work lives.

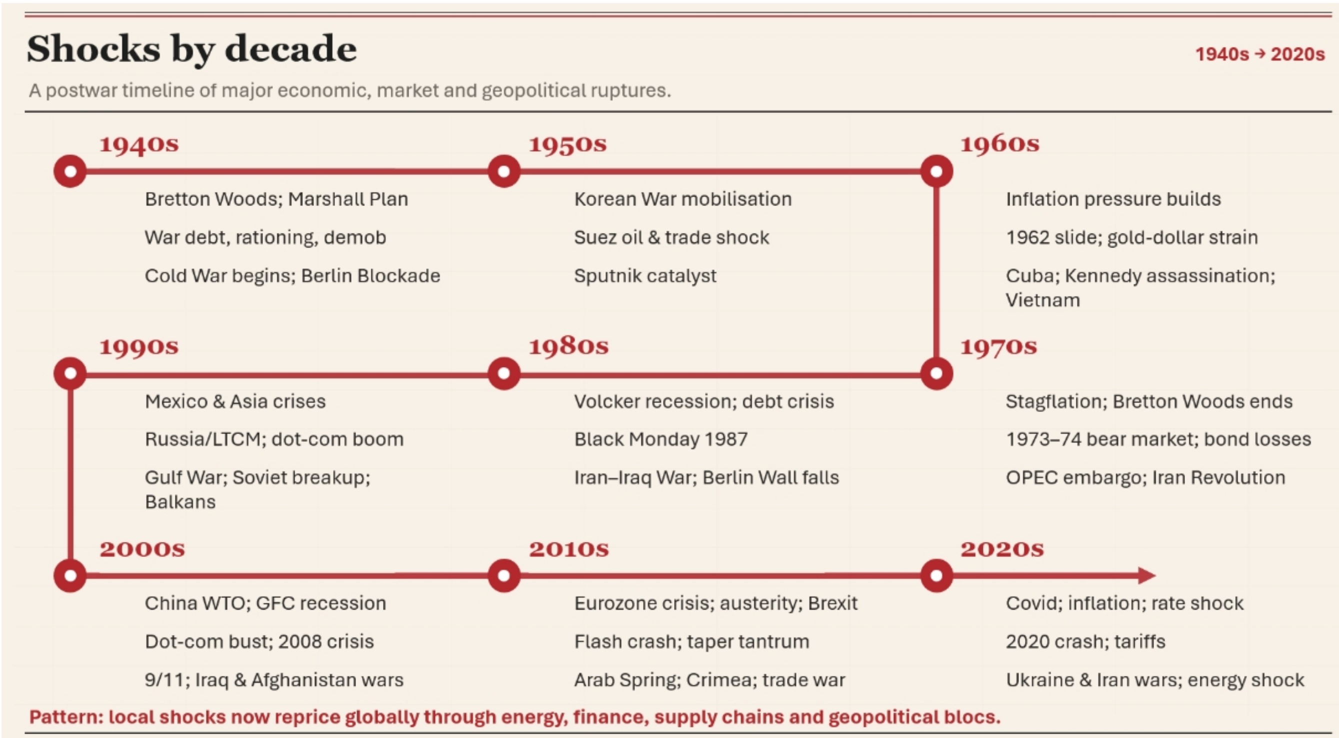
The three pillars are certainly a positive for the world, however, they come with a price tag largely in the form of sovereign debt. Our megatrend model rates this as one of the most persistently negative forces in our six-trend framework. Today's certainty may be earned, but it is also financed.

Shocks in context

The world has absorbed a remarkable run of shocks this decade: the covid pandemic, the fastest rate-hiking cycle in a generation, the Russia-Ukraine conflict, a tariff shock, and the war with Iran. These touched almost all global markets, yet we have emerged feeling more, not less, settled about its financial future.

To understand today's perceived certainty, we must first appreciate the magnitude of past uncertainties. The post-war era was defined by a series of profound shocks that fundamentally threatened the global economic and geopolitical order and brought us to the brink of nuclear war. As the decades wore on, the shape of those shocks changed from geopolitical to financial. Crucially, they all occurred at a time when fiscal and monetary stimulus was not used in the way it is today.

Figure 3: Are the shocks of the 2020s worse than those in prior decades? Investors think not.



Source : Deutsche Bank

Digging into the certainty paradox: narrative versus lived experience

The frequency of headline events is not the same thing as depth of realised economic damage, and it is not the same thing as an investor's confidence in the system's ability to respond. Our survey suggests people are, implicitly, drawing that distinction — separating "how often does something happen" from "how worried am I about my own financial position as a result."

The following are three key points to help explain the certainty paradox.

Argument 1: The government backstop

Perhaps the single biggest structural change in global government of the past two decades is not a technology or a demographic shift — it is the demonstrated willingness to respond to shocks with fiscal and monetary firepower, quickly and at scale. The response to the shocks of the 2020s has been orders of magnitude greater than that for the crises of the 1970s or even 2008.

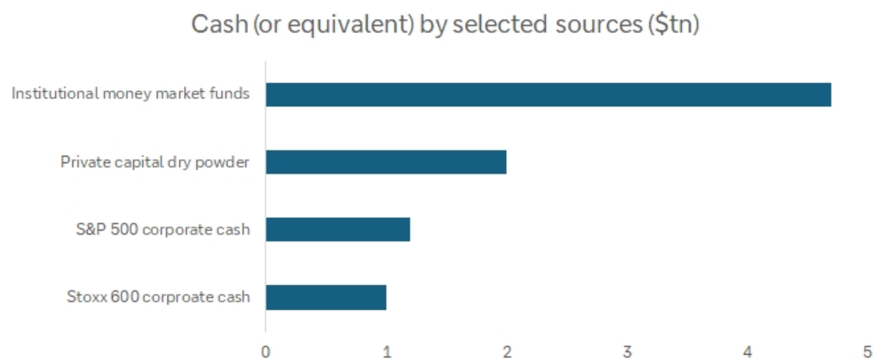
Consider the sequence of the 2020s alone. The Covid pandemic shock was met within weeks by the largest peacetime fiscal package in US history, combined with emergency central bank balance sheet expansion. The 2025 tariff shock and the 2026 Iran-linked energy shock both triggered rapid policy and market-stabilisation responses – some of which were reflexive as policy changed to placate markets.

Each of these episodes was, in isolation, alarming. But each was met with a visible, fast institutional reflex — and our megatrend model (see here) shows that reflex increasingly priced into how megatrends interact with markets.

The other backstop – plenty of cash

That institutional capacity is not just a central-bank story. It also shows up in the sheer volume of private capital sitting ready to be deployed at the first sign of dislocation — itself a backstop of sorts, because a market that expects buyers to show up on any large drawdown behaves differently to one that does not.

Figure 4: The shock absorption capacity sitting on the sidelines



Source : Bloomberg Finance LP, Haver Analytics, Deutsche Bank. Note: corporate cash excludes financials, real estate and utilities.

None of this capital is a government backstop but its existence is itself downstream of a decade and a half of policy conditions (first ultra-low rates, now a smoother path through the 2022 hiking cycle) that left the corporate and institutional sector unusually flush. A system with this much capital behaves more like one with a backstop than one without.

Argument 2: Are today's shocks less shocking?

In spite of the greater frequency of shocks in the 2020s, each of them individually have, from a certain perspective, done less to shake the confidence of the average person compared with the defining shocks of prior decades.

Each shock has, so far, been contained rather than compounding

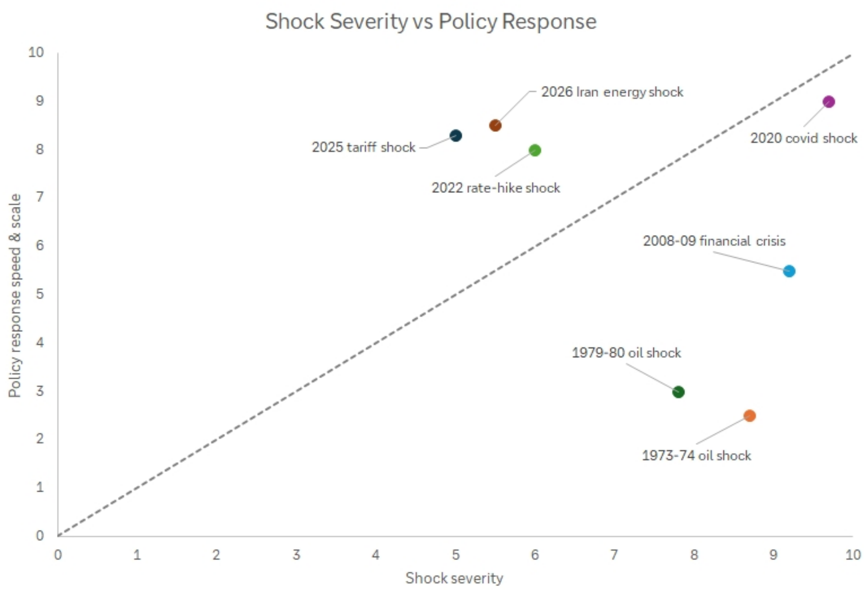
Consider some prior shocks:

- The 1970s oil shocks were compounded by unresolved geopolitical tension, a technology cycle that had not yet turned, and worsening sovereign finances. These multiple negative megatrends reinforced each other while offsetting fiscal or monetary policy was unavailable or insufficient.
- The 2008 financial crisis was amplified in the same way. It was compounded by negative domestic politics, deteriorating demographics, and a geopolitics/globalisation backdrop that was also turning negative.

In contrast, the 2020s has been a decade in which shocks have been relatively isolated (despite their proximity). In addition, our megatrend model shows that technology and, more recently, the energy transition, have been consistently positive throughout the decade, partially offsetting the negative effects.

To illustrate the different shock profile, we have produced the figure below based on our AI-driven estimations. It is not a precise empirical index but it illustrates the underlying logic: more recent shocks have been met with a more aggressive response.

Figure 5: An illustrative guide that estimates recent shocks have had more aggressive policy responses



Source : Deutsche Bank

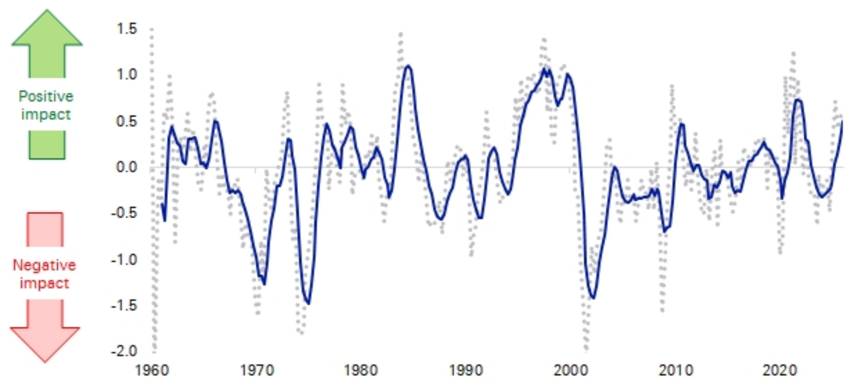
On this reading, the 2020s have delivered more shocks per year than prior periods but each individual shock has, so far, been met quickly enough. As a result, none of the shocks have been allowed to compound in the way that they did in, say, the 1970s or in 2008.

Argument 3: Technology as a buffer

The acceleration in technology in the 2020s has allowed large parts of the economy to keep functioning when physical movement, office attendance, and cross-border coordination were suddenly constrained. The clearest example is the ability to work remotely during the pandemic. But the advances extended to other areas, such as global supply chains which have weathered trade clashes, sanctions, tariffs, and pandemic bottlenecks via better data analytics, digital logistics platforms, real-time inventory systems, supply-chain 'control towers'", AI-assisted forecasting and more.

The following chart shows our technology megatrend indicator for technology. During the early 2020s, this accelerated rapidly in terms of its impact on markets and economies, putting the advancement on par with the jumps during the 1980s computer rollout and the 1990s tech boom.

Figure 6: The impact of the technology megatrend on economies and markets (trendline is 5qtr mov avg)



Source : Bloomberg Finance LP, Finaeon, Haver Analytics, Deutsche Bank

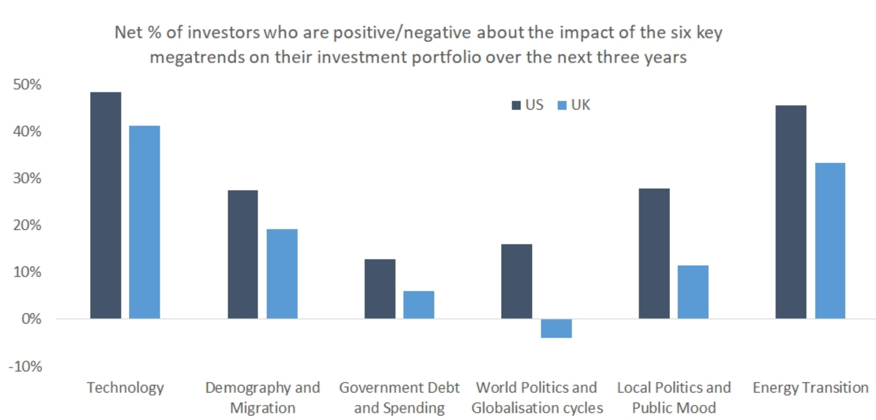
Technology has changed the way shocks actually propagate around the economy and has prevented shocks from compounding as severely as they might have done in earlier eras.

Technology-as-a-buffer is arguably more important for people's perceptions of certainty than is the potential for productivity gains that may stem from evolving technology – certainly reinforced by the very tangible and personal ways that people experienced technology during the pandemic.

Megatrends helping portfolios

Our survey also shows that investors feel today's megatrends will have a positive impact on their portfolios. The following chart shows that more Americans think that every megatrend will be positive for their portfolio than negative. In the UK, the trend is the same, albeit less pronounced, and with one small exception in geopolitics.

Figure 7: People generally feel positive about how megatrends will impact their porfolios



Source : dbDataInsights, Deutsche Bank Research

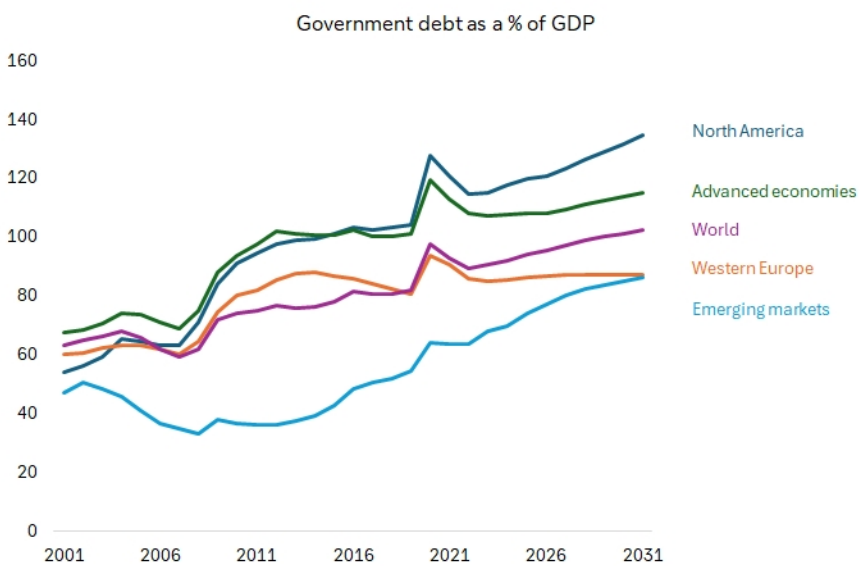
The main thing is that people's expectations of technology and energy are particularly strong. This result should perhaps be no surprise given the upheaval of AI, and the multiple energy shocks of the 2020s. Both have driven the type of disruption that has resulted in substantial investment into these sectors.

The bill for today's certainty will come due

Today's certainty is not costless or permanent. Indeed, the backstop that provides certainty is itself a source of risk. Specifically, we worry that investor faith in a rapid policy response to shocks may mean they simultaneously underestimate the negative megatrends that are impacting the world's economies and markets.

Most importantly, every fiscal intervention adds to the sovereign balance sheet, and our megatrend model indicator for sovereign deficits is sharply negative. That increases the risk that future shocks will not only have their own impact but also may contribute to a market risk event for sovereign debt.

Figure 8: The expected acceleration in sovereign debt raises the potential severity of a market shock when it does eventually occur



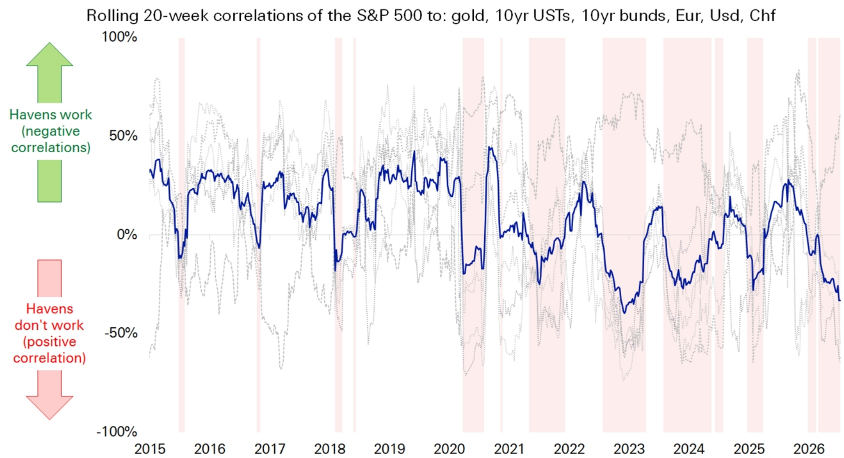
Source : IMF, Deutsche Bank

None of this contradicts the finding that today feels, and arguably is, more certain than decades past. But it does indicate that certainty is conditional on both the continued fiscal capacity to backstop shocks and the ability of technology to deliver meaningful productivity upgrades that will outweigh the drag from sovereign debt, demographics, and domestic politics.

Traditional havens are not the hedge most investors expect

When shocks do occur they are not being hedged as people expect. Our haven indicator below shows that six key hedging assets (gold, the US dollar, the Swiss franc, the Japanese yen, and long-dated government bonds) have become less reliable as hedges this decade.

Figure 9: Our haven indicator shows that, during the 2020s, the usual havens have been ineffective, especially during shocks



Source : Bloomberg Finance L.P., Deutsche Bank

This matters because it adds to the potential for future shocks to be compounded by problems with portfolios that are not able to sustain the losses investors currently expect. Leverage would compound the problem further.

Implications for investors

If the certainty investors feel today is real but conditional, we believe three practical implications follow.

- Do not assume traditional havens will do their job in the next shock. With gold, the US dollar, the Swiss franc, the yen, and core government bonds all showing an unreliable hedge relationship with equities since 2020, portfolio construction may need to lean more on genuinely uncorrelated assets and private-market diversification.
- Treat policy-response speed as a variable to monitor, not a constant to assume. The backstop that explains today's calm depends on fiscal and political capacity that is itself being eroded by the sovereign-deficits megatrend. A shock that arrives when that capacity is more constrained — rather than during a period of ample dry powder — would test the very mechanism this report describes.
- Watch the technology megatrend as the single most important swing factor. So much of today's certainty rests on technology offsetting other negative megatrends. A stalling or disappointing AI adoption curve would remove the offset that has, so far, helped keep shocks from compounding the way they did in the 1970s and 2008.

In short: the certainty expressed in our survey results is not a mirage, but neither is it a permanent state of affairs. It is the observable output of a strong policy backstop and a positive technology cycle. Both are doing more work than they have typically had to do in the past. Investors who understand why today feels calmer are likely to be better placed to notice if either force starts to shift.

Conclusion

Shocks in the second half of the 20th century were existential, system-breaking crises: the threat of nuclear war, the collapse of the monetary system, the oil embargoes etc. These have been replaced by challenges that, while significant, are more manageable within the current economic framework.

Yet, the bill for this certainty will come due and when it does it will likely be at a very inconvenient time. Indeed, our megatrend analysis suggests the defining feature of the next five years will be volatility amidst a greater frequency of shocks. The risk is that, at the same time that a shock occurs, markets fear the fiscal response and sovereign debt markets sell-off, thereby limiting the ability to mitigate the shock.

So, what of people's perception today of relative investment certainty? From one point of view it is logical they feel this way - they have become used to the policy response. However, that attitude only increases the potential negative impact when a shock occurs and policymakers find they cannot simply throw money at the problem.

Appendix 1

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